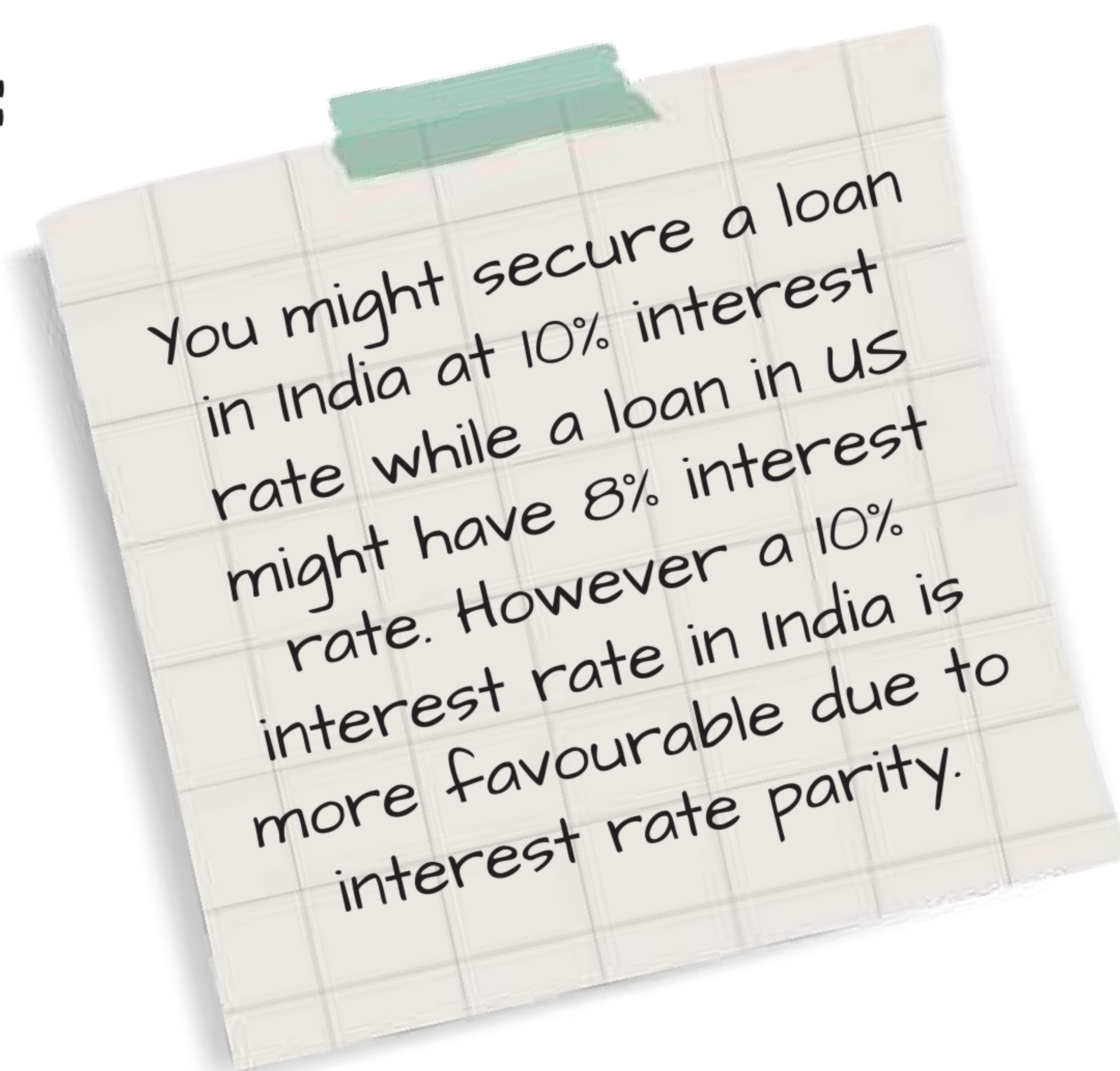


Loans for International Studies:

If you're planning to study abroad, there are additional sources to consider:

Foreign Banks:



You might secure a loan in India at 10% interest rate while a loan in US might have 8% interest rate. However a 10% interest rate in India is more favourable due to interest rate parity.



The Indian rupee's decline against the dollar is real, and it might continue. Example - If you start University, the exchange rate is \$1 = ₹100 and in four years of you studying abroad, the rupee depreciates by 10, so \$1 = ₹110. So the loan you would have taken, in rupee terms you would have to repay 10% extra.

Foreign NBFCs:

These institutions often have very high processing fees and hence should be approached with caution.

An additional disadvantage of getting a loan from foreign banks is you won't get tax benefits under Sec 80E.